CHAPTER L-07

LIFE INSURANCE DOCUMENTATION

Chapter Introduction

We have seen that the insurance industry deals with a large number of forms and documents in Chapter 7. There are some documents specific to life insurance, which are discussed in this chapter. Here, we are also discussing the main provisions incorporated in a policy document. Provisions related to grace period, policy lapse and non-forfeiture and certain other privileges are also discussed.

Learning Outcomes

A. Proposal stage documentation

B. Policy stage documentation

C. Policy conditions and privileges

A. Proposal stage documentation

Further to the common points discussed about the Prospectus and the Proposal Form in Chapter 7, there are some additional points that Life Insurers need to understand.

Prospectus: In insurance, 'Prospectus' means a document in physical, electronic or any other format issued by the insurer to sell or promote the insurance product. The prospectus of an insurance product shall clearly state

(a) the Unique Identification Number (UIN) allotted by the Authority for the concerned insurance product:
(b) the scope of benefits;
(c) the extent of insurance cover;
(d) the warranties, exclusions/exceptions and conditions of the insurance cover along with explanations.

The prospectus should also provide:

(a) a description of the contingency or contingencies to be covered by insurance;
(b) the class or classes of lives or property eligible for insurance under the terms of such prospectus.

In Life insurance, the prospectus should also mention about the Riders (also called Add-on covers in Health and General Insurance) allowable on the product and their benefits.

Proposal Form: In respect of Life insurance, the details of the proposers' family members (including parents) indicating their longevity, status of health and ailments suffered by any of them, are collected through the Proposal form. Depending on the product, the medical details of the life proposed for insurance, his/ her personal history of disease and personal characteristics may also be asked for. The Proposal Form is the document by which insurers get all the information that they need from the prospect.

Section 45 of the Insurance Act, provides that the Policy shall not be called in question on the ground of mis-statement after three years. Agents have an important role in guiding the prospect to give answers to all the questions in the Proposal Form/ Medical Forms etc. truthfully and advising them of the implications of not doing so in terms of Section 45.

Proposal Forms for Life Insurance should state the requirements of Section 45 of the Act. While answering the questions in the Proposal Form for obtaining life insurance cover, the prospect is to be guided by the provisions of Section 45 of the Act.

Similarly, Section 39 of the Act is about the provision of nomination. Wherever the facility of Nomination is available to the proposer, the Agent shall inform him/ her of the provisions of Section 39 of the Act and encourage the proposer to avail the facility.

Aspects related to the personal financial planning of the life proposed including his/ her work span, projected income and expenses, as well as needs for savings and investment, health, retirement and insurance may also be asked in the Life Insurance Proposal Form.

Age Proof: Age being an important factor for assessing the risk profile of the life to be insured, Life insurers collect documentary evidence to verify correct age. Valid age proofs may be standard or non-standard, as discussed in Chapter 7.

Life insurers look into the following documents as well.

a) Agent's Confidential Report

The agent is the primary underwriter. All material facts and particulars about the policyholder, relevant to risk assessment, need to be revealed by the agent in his/her report. This means that matters of health, habits, occupation, income and family details need to be mentioned in the report.

b) Medical Examiner's report

In many cases, the life to be insured has to be medically examined by a doctor who is empanelled by the insurance company. Details of physical features like height, weight, blood pressure, cardiac status etc. are recorded and mentioned by the doctor in his report called the medical examiner's report. The underwriter of the insurance company thereby gets an account of the current health position of the life to be insured.

Many proposals are underwritten and accepted for insurance without calling for a medical examination. They are known as non-medical cases. The medical examiner's report is required typically when the proposal cannot be considered under non-medical underwriting because the sum proposed or the age of the proposed life is high or there are certain characteristics which are revealed in the proposal, which call for examination and report by a medical examiner.

c) Moral Hazard report

Moral Hazard is the likelihood that a client's behaviour might change as a result of purchasing a life insurance policy and such a change would increase the chance of a loss. This is one factor that Life insurance underwriters take into account seriously when assessing the risk.

Life insurance companies seek to guard against the possibility of individuals seeking to make a profit from the purchase of life insurance through actions like ending one's own life or the life of another. Life insurance underwriters would thus look for any factors which might suggest such hazard. For this purpose, the company may require that a Moral Hazard Report has to be submitted by an official of the insurance company.

Example

Vikas recently purchased a life insurance policy. He then decided to go on a skiing expedition at a site which was touted to be one of the most dangerous skiing places on earth. In the past he had refused to undertake such expeditions.

B. Policy Stage Documentation

1. First Premium Receipt

An insurance contract commences when the life insurance company issues a first premium receipt (FPR).
The FPR is the evidence that the policy contract has begun. The first premium receipt contains the following information:

i. Name and address of the life assured
ii. Policy number
iii. Premium amount paid
iv. Method and frequency of premium payment
v. Next due date of premium payment
vi. Date of commencement of the risk
vii. Date of final maturity of the policy
viii. Date of payment of the last premium
ix. Sum assured

After the issue of the FPR, the insurance company will issue subsequent premium receipts when it receives further premiums from the proposer. These receipts are known as renewal premium receipts (RPR). The RPRs act as proof of payment in the event of any disputes related to premium payment.

2. Policy Document

The policy document is the most important document associated with insurance. **It is evidence of the contract between the assured and the insurance company.** It is not the contract itself. If the policy document is lost by the policy holder, it does not affect the insurance contract. The insurance company will issue a duplicate policy without making any changes to the contract. The policy document has to be signed by a competent authority and should be stamped according to the Indian Stamp Act. Life insurers are very careful while designing the policy document because they bear onus of responsibility for any ambiguity or confusion that may arise in the interpretation of its wordings.

The standard policy document typically has three parts:

a) Policy Schedule

The policy schedule forms the first part. It is usually found on the face page of the policy. The schedules of life insurance contracts would be generally similar. They would normally contain the following information:

Diagram 1: Policy document components

i. Name of the insurance company

ii. Some common details of a policy are:

- ✓ Policy owner's name and address
- ✓ Date of birth and age last birthday
- ✓ Plan and term of policy contract
- ✓ Sum assured
- ✓ Amount of premium
- ✓ Premium paying term
- ✓ Date of commencement, date of maturity and due date of last premium
- ✓ Whether policy is with or without profits
- ✓ Name of nominee
- ✓ Mode of premium payment – yearly; half yearly; quarterly; monthly; via deduction from salary
- ✓ The policy number – which is the unique identity number of the policy contract

iii. The insurer's promise to pay. The events on the happening of which and the amounts that are promised to be paid. This forms the heart of the insurance contract

iv. The signature of the authorised signatory and policy stamp

v. The address of the local Insurance Ombudsman.

b) Standard Provisions

The second component of the policy document is made up of standard policy provisions, such as relating to proof of age, premium payment grace period etc. which are normally present in all life insurance contracts. Some of these provisions may not be applicable in the case of certain kinds of contracts, like term, single premium or non-participating (with profits) policies. These standard provisions define the rights and privileges and other conditions, which are applicable under the contract.

c) Specific Policy Provisions

The third part of the policy document consists of specific policy provisions that are specific to the individual policy contract. These may be printed on the face of the document or inserted separately in the form of an attachment.

While standard policy provisions, like days of grace or non-forfeiture in case of lapse, are often statutorily provided under the contract, specific provisions are generally linked to the particular contract between the insurer and the insured.

Example

A clause precluding death due to pregnancy for a lady who is expecting at the time of writing the contract.

Test Yourself 1

What does a first premium receipt (FPR) signify? Choose the most appropriate option.

I. Free-look period has ended
II. It is evidence that the policy contract has begun
III. Policy cannot be cancelled now
IV. Policy has acquired a certain cash value.

C. Policy conditions and privileges

Grace Period

As mentioned in Chapter 4, the Grace Period provision enables a policy that would otherwise have lapsed for non-payment of premium, to continue in force during the grace period. Every life insurance contract undertakes to pay the death benefit on the condition that the premiums have been paid up to date and the policy is in force. The "Grace Period" clause grants the policyholder an additional period of time to pay the premium after it has become due.

The premium however remains due and if the policyholder dies during this period, the insurer deducts the premium from the death benefit. If premiums remain unpaid even after the grace period is over, the policy would then be considered lapsed and the company is not under obligation to pay the death benefit. The only amount payable would be whatever is applicable under the non-forfeiture provisions.

Important

Lapse and Reinstatement/ Revival

We have already seen that a policy may be said to be in lapse condition if premium has not been paid even during the days of grace. The good news is that most lapsed life insurance policies can be reinstated [revived]. As per IRDAI Product Regulations, a Non-Linked Policy can be revived within 5 years from the date of unpaid premium, whereas a Linked Policy can be revived within 3 years.

Definition

Reinstatement is the process by which a life insurance company puts back into force a policy that has either been terminated because of non-payment of premiums or has been continued under one of the non-forfeiture provisions.

A revival of the policy cannot however be an unconditional right of the insured. It can be accomplished only under certain conditions:

i. **Revival application within specific time period:** The policy owner must complete the revival application within the time frame stated in the provision for such reinstatement, say five years from the date of lapsation.

ii. **Satisfactory evidence of continued insurability:** The insured must present to the insurance company satisfactory evidence of continued insurability of the insured. Not only must her health be satisfactory but other factors such as financial income and morals must not have deteriorated substantially.

iii. **Payment of overdue premiums with interest:** The policy owner is required to make payment of all overdue premiums with interest from due date of each premium.

iv. After having evaluated the evidence of continued insurability the insurer may decide to revive the policy as per existing terms and premium or even offer revival with increase in premium or reduced risk cover or both.

Perhaps the most significant of the above conditions is that which requires evidence of insurability at revival. The type of evidence called for would depend on the circumstances of each individual policy. If the policy has been in a lapsed state for a very short period of time, the insurer may reinstate the policy without any evidence of insurability or may only require a simple statement from the insured certifying that he is in good health.

The company may however require a medical examination or other evidence of insurability under certain circumstances:

i. If the grace period has expired since long and the policy is in a lapsed condition for say, nearly a year.

ii. If the insurer has reason to suspect that a health or other problem may be present. Fresh medical examination may also be required if the sum assured or face amount of the policy is large.

Important

Revival of lapsed policies is an important service function that life insurers seek to actively encourage since policies in lapsed state may do little good to either insurer or policyholder.

Non-forfeiture provisions

The Insurance Act, 1938 (Section 113) protects policies (which have acquired surrender value), from lapsation, by keeping them alive to the extent of paid-up sum assured even without payment of further premiums. This is because the policyholder has a claim to the cash value accumulated under the policy.

a) Surrender values

Surrender value is the amount you stand to get when you decide to make a premature exit from the plan, i.e. when you have decided to completely withdraw or terminate the policy before its maturity.

Life insurers normally have a chart that lists the surrender values at various times and also the method that will be used for calculating the surrender values. The

formula takes into account the type and plan of insurance, age of the policy and the length of the policy premium-paying period.

The actual amount of cash one gets in hand on surrender may be different from the surrender value amount prescribed in the policy. The actual amount may differ on account of any accrued bonuses, recoveries etc.

Guaranteed Surrender Value [GSV]: The law in India as per IRDAI Guidelines (revised in 2019) provides for a Guaranteed Surrender Value [GSV] to be payable if all premiums have been paid for at least two consecutive years. This Value arrived as a percentage (say 30%) of premiums paid is called Guaranteed Surrender Value. The value depends on the duration of premium paid. The GSV is required to be mentioned in the policy document.

b) Policy loans

Life insurance policies that accumulate a cash value also have a provision to grant the policyholder the right to borrow money from the insurer by using the cash value of the policy as a security for the loan. The policy loan is usually limited to a percentage of the policy's surrender value (say 90%). Note that the policyholder borrows from his own account. He or she would have been eligible to get the amount if the policy had been surrendered. In that case the insurance would have been terminated.

Insurers charge interest on policy loans, which are payable semi-annually or annually. Although loan and interest are repayable periodically, If the loan has not been repaid, the insurer deducts the amount of outstanding (unpaid) loan and interest from the policy benefit that is payable. A loan provides relief to policyholder in case of financial emergencies while keeping the insurance alive.

Since the loan is granted on the policy being kept as security, the policy has to be assigned (explained in later para) in favour of the insurer. Where the policyholder has nominated (explained in later para) someone to receive the money in the event of death of the insured, this nomination shall not be cancelled but the nominee's right will be affected to the extent of the insurer's interest in the policy.

Example

Arjun bought a life insurance policy wherein the total death claim payable under the policy was Rs. 2.5 lakhs. Arjun's total outstanding loan and interest under the policy amounts to Rs. 1.5 lakhs. Hence in the event of Arjun's death, the nominee will be eligible to get the balance of Rs. 1 lakh.

Special policy provisions and endorsements

a) Nomination

i. Under Section 39 of the Insurance Act 1938, the holder of a policy on his/her own life may nominate the person or persons to whom the money secured by the policy shall be paid in the event of his/her death.
ii. The life assured can **nominate one or more than one person** as nominees.
iii. Nominees are entitled for **valid discharge** and have to **hold the money as a trustee** on behalf of those entitled to it.
iv. Nomination can be done either **at the time the policy is bought or later** at any time before the maturity of the Policy.

v. Nomination may be incorporated in the text of the Policy itself or by an endorsement on the Policy. Nominations need be communicated to the insurer and registered by the insurer in the records relating to the Policy.
vi. Nomination can be cancelled or changed at any time before Policy matures, by an endorsement or a further endorsement or a will as the case may be.

Important

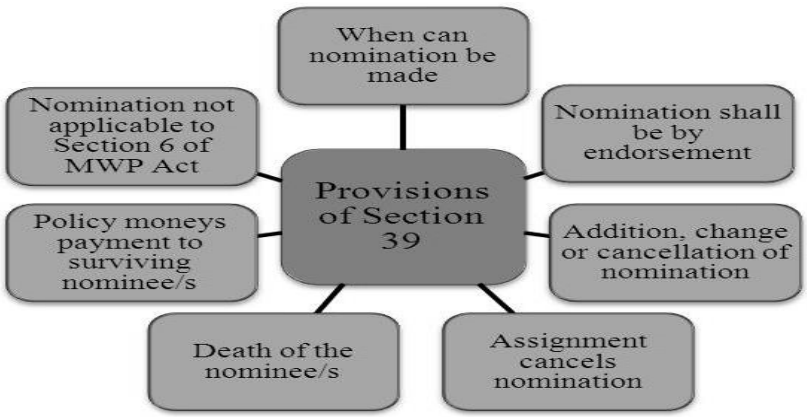
Nomination only gives the nominee the right to receive the policy monies from the insurer in the event of the death of the life assured. However, the money would be belonging to the legal heir only. **A nominee does not have any right to the whole (or part) of the claim.** However vide Section 39(7) of Insurance Act,1938, in respect of all policies maturing for payment after 26th December, 2014, nomination in favour of parents, spouse, children or spouse and children by the owner of the policy on his/ own life makes the nominees beneficially entitled to the amount payable by the insurance company.

Where the nominee is a minor, the policy holder needs to appoint an appointee. The appointee needs to sign the policy document to show his or her consent to acting as an appointee. The appointees lose their status when the nominee reaches majority age. The policy holder can change the appointee at any time. If no appointee is given, and the nominee is a minor, then on the death of the life assured, the death claim is paid to the legal heirs of the policyholder.

Where more than one nominee is appointed, the death claim will be payable to them jointly, or to the survivor or survivors. Nominations made after the commencement of the policy have to be intimated to the insurers to be effective.

Section 39(11) of the Insurance Act says that where a policyholder dies after the maturity of the policy but the proceeds and benefit of his policy has not been made to him because of his death, his nominee shall be entitled to the proceeds and benefit of his policy.

Diagram 2: Provisions related to nomination



b) Assignment

Since life insurance policy carries a promise or a debt that the insurance company owes the insured, it is considered a security for money or property.

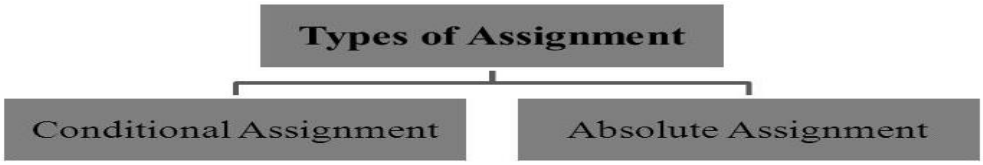
We have seen that loan is advanced against by the insurers against the surrender value of the policy. Similarly, many financial institutions including banks advance loan against the security of the insurance policy by having it assigned it in their favour.

The term assignment ordinarily refers to transfer of property by writing in favour of another person.

The assignment of a life insurance policy implies the act of transferring the rights, title and interest in the policy (as property) from one person to another. The person who transfers the rights is called **assignor** and the person to whom property is transferred is called **assignee**. On assignment, the ownership of the policy changes and hence nomination is cancelled, except when assignment is made to the insurance company for a policy loan.

There are two types of assignments.

Diagram 3: Types of Assignment



Conditional Assignment	Absolute Assignment
Conditional assignment provides that the policy shall revert back to the life assured on his or her surviving the date of maturity or on death of the assignee.	• Absolute assignment provides that all rights, title and interest which the assignor has in the policy are transferred to the assignee without reversion to the former or his/ her estate in any event. • The policy thus vests absolutely with the assignee. The latter can deal with the policy in whatever manner he or she likes without the consent of the assignor.

Absolute assignment is more commonly seen in many commercial situations where the policy is typically mortgaged against a debt assumed by the policyholder, like a housing loan.

Conditions for valid assignment

Let us now look at the conditions that are necessary for a valid assignment.

i. The assignor must have **absolute right and title or assignable interest** to the policy being assigned.

ii. The assignment should **not be opposed to any law in force**.

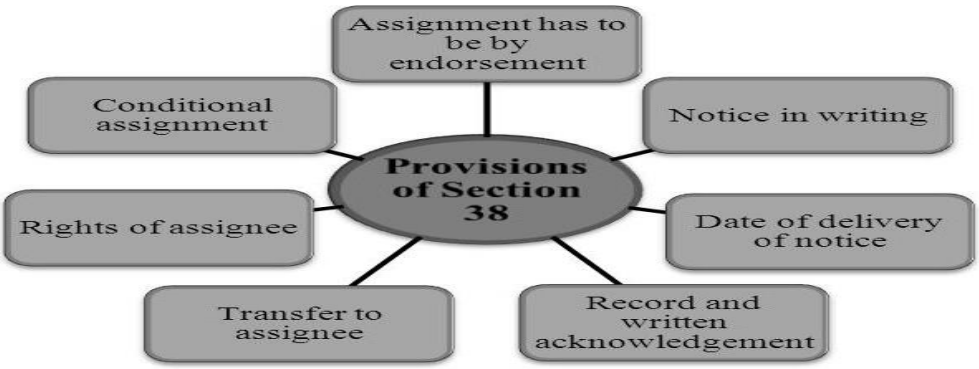
iii. Assignee can do another assignment, but cannot do nomination because assignee is not the life assured.

Important:

- A life insurance policy can be assigned wholly or partially
- The assignment must be signed by the transferor or assignor or duly authorized agent and attested by at least one witness.

- The transfer of title has to be specifically set forth in the form of an endorsement on the policy or a separate instrument.
- The policyholder must give notice of the assignment to the insurer, without which the assignment will not be valid.
- Section 38(2) specifies that an insurer may accept the assignment, or decline the same, if it has sufficient reason to believe that such assignment is not bona fide or is not in the interest of the policyholder or in public interest or is for the purpose of trading of insurance policy.
- However, the insurer shall, before refusing to act upon the endorsement, record in writing the reasons for such refusal and communicate the same to the policyholder not later than thirty days from the date of the policyholder giving notice of such transfer or assignment.

Diagram 4: Provisions related to assignment of insurance policies



Commonly extended privileges to policyholders

a) **Duplicate Policy:**

A life insurance policy document is only an evidence of a promise. Loss or destruction of the policy document does not in any way absolve the company of its liability under the contract. Life insurance companies generally have standard procedures to be followed in case of loss of the policy document.

Normally the office would examine the case to see if there is any reason to doubt the alleged loss. Satisfactory proof may need to be produced that the policy has been lost and not dealt with in any manner. Generally the claim may be settled on the claimant furnishing an indemnity bond with or without surety.

If payment is shortly due and the amount to be paid is high, the office may also insist that an advertisement be placed in a national paper with wide circulation, reporting the loss. A duplicate policy may be issued on being sure that there is no objection from anyone else.

b) **Alteration**

Policyholders may seek to effect alterations in policy terms and conditions. There is provision to make such changes subject to consent of both the insurer and assured. Normally alterations may not be permitted during the first year of

the policy, except for change in the mode of premium or alterations which are of a compulsory nature – like

- ✓ change in name or/ address;
- ✓ readmission of age in case it is proved higher or lower;
- ✓ request for grant of double accident benefit or permanent disability benefit etc.

Alterations may be permitted in subsequent years. Some of these alterations may be affected by placing a suitable endorsement on the policy or on a separate paper. Other alterations, which require a material change in policy conditions, may require the cancellation of existing policies and issue of new policies.

Some of the main types of alterations that are permitted are

i. Change in certain classes of insurance or term [where risk is not increased]
ii. Reduction in the sum assured
iii. Change in the mode of payment of premium
iv. Change in the date of commencement of the policy
v. Splitting up of the policy into two or more policies
vi. Removal of an extra premium or restrictive clause
vii. Change from without profits to with profits plan
viii. Correction in name
ix. Settlement option for payment of claim and grant of double accident benefit

These alterations generally do not involve an increase in the risk. There are other alterations in policies that are not allowed. These may be alterations that have the effect of lowering the premium. Examples are extension of the premium paying term; change from with profit to without profit plans; change from one class of insurance to another, where it increases the risk: and increase in the sum assured.

Test Yourself 2

Under what circumstances would the policyholder need to appoint an appointee?

I. Insured is minor
II. Nominee is a minor
III. Policyholder is not of sound mind
IV. Policyholder is not married

Summary

- Matters of health, habits and occupation, income and family details need to be mentioned by the agent in the agent's report.
- Details pertaining to physical features like height, weight, blood pressure, cardiac status etc. are recorded and mentioned by the doctor in his/ her report called the medical examiner's report.
- Moral hazard is the likelihood that a client's behaviour might change as a result of purchasing a life insurance policy and such a change would increase the chance of a loss.
- An insurance contract commences when the life insurance company issues a first premium receipt (FPR). The FPR is the evidence that the policy contract has begun.

- The policy document is the most important document associated with insurance. It is the evidence of the contract between the assured and the insurance company.
- The standard policy document typically has three parts which are the policy schedule, standard provisions and the policy's specific provisions.
- The grace period clause grants the policyholder an additional period of time to pay the premium after it has become due.
- Reinstatement is the process by which a life insurance company puts back into force a policy that has either been terminated because of non-payment of premiums or has been continued under one of the non-forfeiture provisions.
- A policy loan is different from an ordinary commercial loan in two respects, firstly the policy owner is not legally obligated to repay the loan and the insurer need not perform a credit check on the insured.
- Nomination is where the life assured proposes the name of the person(s) to which the sum assured should be paid by the insurance company after their death.
- The assignment of a life insurance policy implies the act of transferring the rights right, title and interest in the policy (as property) from one person to another. The person who transfers the rights is called assignor and the person to whom property is transferred is called assignee.
- Alteration is subject to consent of both the insurer and assured. Normally alterations may not be permitted during the first year of the policy, except for some simple ones.

Key Terms

1. Agents Confidential Report
2. Medical Examiner's Report
3. Moral Hazard Report
4. First Premium Receipt (FPR)
5. Policy document
6. Policy schedule
7. Standard provisions
8. Special Provisions
9. Grace period
10. Policy lapse
11. Policy revival
12. Surrender value
13. Nomination
14. Assignment

Answers to Test Yourself

Answer 1 - The correct option is II.

Answer 2 - The correct option is II.